

BEST

Management Advice

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“COUNTER-CYCLICAL MARKETING TO BOOST SUCCESS DURING RECESSION”

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In these times when global geopolitics will have a deep impact on top line and bottom line of companies, how can CMOs defend their marketing budgets from cuts?

In our forthcoming Journal of Marketing article with Professors Junqiu Jiang & Kapil Tuli, research from MNCs uncovered five signals CMOs use to defend their marketing budgets: provide granularity on how the KPIs will be obtained; identify specific market-based opportunities; mitigate competitive threats; cultivate endorsements from other functional managers; and relinquish money which are not adequate to obtain the expected KPIs associated with them. In general, by clarifying the trade-offs between budget and KPIs, smart CMOs obtain a calibrated marketing budget.

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You have said that the marketing function is in crisis. How?



CEOs are frustrated by marketing's inability to deliver results. While the function has lost ground, the importance of marketing as a mindset—geared towards customer focus and growth—is critical. Companies are increasingly rebranding their CMOs as Chief Growth Officers.

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How can the voice of the CMO be heard more in boardrooms?

In my book, *Marketing as Strategy*, I challenged marketers to change their role from

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implementers of marketing tactics to leaders of transformational initiatives that are strategic,

cross-functional, and bottom-line-oriented. Only then does marketing deserve to be on CEO and Board agendas. Digital transformation, AI adoption, and omnichannel migration are examples.

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It now seems clear that the global economy as a whole will decelerate. How can companies do counter-cyclical marketing to help them survive?

During recessions, companies that pursue countercyclical marketing are more likely to succeed. But data gathered from past recessions suggests that managers tend to do the opposite and enhance the cyclical effects of business cycles by increasing their marketing efforts during boom times and reducing them during lean times.

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Walmart or Amazon, Flipkart or Reliance Retail. Where does the future lie?

The future for retailers like Walmart lies in enhancing their in-store experience while aggressively adopting omnichannel through expanded e-commerce operations. In contrast, pure e-commerce players should stick to online operations. **BT**